



NBZ RESEARCH
Institutional Digital Asset Coverage

LIGHTER

\$LIT · Institutional Research Report

A zero-knowledge-verified, non-custodial perpetual futures exchange delivering CEX-level speed with cryptographically provable order matching — evaluated across technology, tokenomics, funding, market performance, ecosystem traction, and forward-looking risk.

TICKER	SECTOR	CHAIN	REPORT DATE
LIT	Perpetuals DEX / ZK-Rollup	Ethereum L2 (custom ZK rollup)	August 2026



SECTION 01

Project Overview

Lighter (LIT) is a decentralized perpetual futures exchange built as an application-specific zero-knowledge rollup on Ethereum. Its core promise is delivering centralized-exchange-level speed and cost — matching, risk checks, and liquidations all processed off-chain for performance — while making every one of those operations cryptographically provable and ultimately settled on Ethereum, closing the trust gap that has historically separated fast, custodial trading platforms from slow, fully on-chain ones.

Founded by Vladimir Novakovski, a former Citadel engineer and Harvard graduate, Lighter began as an invite-only platform before opening its public mainnet in October 2025. Within weeks of launch it rose to become one of the largest perpetual DEXs by trading volume, and by the time of its \$LIT token launch on December 30, 2025, the protocol had already built a meaningful operating track record — a notably different starting position than most token launches in this coverage series, which typically launch tokens well ahead of comparable usage data.

\$2.84	\$710.68M	\$2.84B	#66	+24.5%
PRICE (SNAPSHOT)	MARKET CAP	FULLY DILUTED VALUATION	MARKET RANK	24H MOVE (GATE)

Snapshot

Metric	Value
Token Ticker	LIT
Category	Perpetual Futures DEX / ZK-Rollup Infrastructure
Circulating Supply	250.00M LIT
Total Supply / Max Supply	1.00B LIT
24h Trading Volume	\$84.91M
All-Time High	\$4.044
All-Time Low	\$0.7803
Public Mainnet Launch	October 2025
Token Generation Event (TGE)	December 30, 2025
Website	app.lighter.xyz

LIT is trading roughly 30% below its all-time high, but the market snapshot in this report also shows a sharp, broad-based single-day rally (+22–25% across nearly every major exchange) — a notable move for a top-70 market cap asset with over \$700M in circulating value.

SECTION 02

Problem & Solution

The Problem

Traders who want the speed and low cost of a centralized exchange have historically had to accept custodial risk and opaque order handling; traders who want non-custodial, verifiable execution have had to accept slower, more expensive infrastructure. Off-chain order book systems that settle on general-purpose blockchains reduce costs but reintroduce a trust dependency — smart contracts can verify that a trade was valid, but not that the operator respected price-time priority or avoided censoring, reordering, or delaying orders.

The Solution

- **Application-specific SNARK-based prover** — Lighter generates succinct zero-knowledge execution proofs for complete financial operations, including price-time-priority order matching, risk management, and liquidations, rather than only verifying that a trade was possible.
- **Custom Order Book Tree** — a purpose-built data structure that enforces strict price-time priority while requiring only $O(\log_2 N)$ hash operations for insertion, removal, and quote retrieval, materially more efficient than naive Merkle-tree or linked-list approaches (see Section 3).
- **Escape Hatch mechanism** — if the Sequencer fails to process a user's priority exit transaction within a set deadline, the protocol permissionlessly freezes and allows users to withdraw assets directly through Ethereum smart contracts, without relying on the operator.
- **Hybrid data availability model** — only the minimal data required for a secure Escape Hatch is posted to Ethereum via blobs, letting Lighter execute tens of thousands of operations per second while preserving users' ability to independently reconstruct and verify their own account state.
- **Zero-fee retail model** — Lighter has prioritized broad distribution (including a Robinhood-linked retail channel) over direct fee extraction, aiming to capture value from order flow quality and token-driven mechanisms rather than trading fees alone.

■ SECTION 03

Technology & Architecture

Lighter's architecture separates five core components: a Sequencer that executes transactions and orders them into blocks; a Prover that generates SNARK proofs attesting to the correctness of every state transition; an Indexer and API Servers that surface real-time data to users; and Ethereum smart contracts that hold deposited assets and store the protocol's canonical state root. Because matching and risk-check correctness are verified by the Prover rather than trusted to the Sequencer, the Sequencer's power is limited to transaction ordering — a meaningfully smaller attack surface than designs where the sequencer both matches and merely proves that two orders intersect.

The protocol's centerpiece innovation is the Order Book Tree, a specialized hybrid data structure that encodes order price-time priority directly into leaf indexes, enabling existence verification, best bid/ask identification, insertion, and removal all with $O(\log_2 N)$ hash operations along a single tree path — a significant efficiency improvement over naive Merkle-tree or linked-list order book designs, which require either linear-time operations or fail to support efficient quote retrieval. Every batch of transactions is proven through multi-layered aggregation (block, segment, then batch-level proofs), ultimately wrapped in a PLONK proof and submitted to Ethereum for on-chain verification.

Core Components

Component	Function
Sequencer	Low-latency execution engine; orders transactions into blocks, limited to ordering power only
Prover	Generates SNARK proofs verifying price-time-priority matching, risk checks, and liquidations
Order Book Tree	Custom data structure enabling $O(\log_2 N)$ order insertion, removal, and quote retrieval

Component	Function
Escape Hatch	Permissionless fail-safe letting users exit directly via Ethereum if the Sequencer stalls
Smart Contracts	Hold deposited assets and the canonical state root; verify proofs; execute withdrawals

Reported throughput ranges from roughly 4,000 to 15,000 transactions per second depending on source, with the whitepaper describing tens of thousands of user operations per second at peak. One third-party assessment flagged the absence of a top-tier security audit disclosure as of early 2026 — a detail worth verifying directly with the team given the protocol now secures hundreds of millions of dollars in TVL and open interest.

■ SECTION 04

Tokenomics & Allocation

LIT has a fixed max supply of 1,000,000,000 tokens, with allocation split evenly across three broad categories: the ecosystem, the team, and investors. Of the 50% ecosystem allocation, half (25% of total supply) was distributed immediately via airdrop at TGE, with the remaining 25% reserved for future growth initiatives including additional points seasons, partnerships, and ecosystem programs. As of this report's data pull, circulating supply stood at 250.00M LIT (25% of max supply) against a fully diluted valuation of \$2.84B — roughly 4x the current market cap.

Allocation Breakdown

Allocation Category	% of Supply
Team	26.00%
Ecosystem	25.00%
Airdrop	25.00%
Investors	24.00%

Vesting Status (as of this report)

Category	Unlock Status
Airdrop	25% unlocked — fully distributed at TGE on December 30, 2025
Team	26% — locked, not yet unlocked as of this report
Investors	24% — locked, not yet unlocked as of this report
Ecosystem	25% — largely unallocated, reserved for future growth programs

Team and Investor tokens (a combined 50% of max supply) remain entirely locked as of this report, meaning the current circulating supply consists almost entirely of the airdrop distribution. This is a conservative near-term structure, but it also means the largest supply event in LIT's history — the eventual unlock of that 50% insider allocation — has not yet occurred and should be treated as the single most important calendar risk for holders. The team has publicly stated that all value generated by Lighter's products will accrue to LIT holders, with the token issued directly from Lighter's US C-Corp.

■ SECTION 05

Funding & Investors

Lighter has raised approximately \$68–90M across two primary funding rounds (sources vary on the precise combined total). The most recent round, announced in November 2025, raised \$68M led by Peter Thiel's Founders Fund and Ribbit Capital, valuing the company at approximately \$1.5B and drawing additional participation from Haun Ventures, Dragonfly, Craft Ventures, and — notably — Robinhood, which also serves as a strategic distribution partner.

Investor Tiers

Tier	Notable Backers	Type
Tier 1	Andreessen Horowitz (a16z crypto), Dragonfly	Venture
Tier 2	Ribbit Capital (Lead), Founders Fund (Lead), Lightspeed	Venture
Tier 3	Haun Ventures	Venture
Other	Robinhood	Corporation / Strategic

Robinhood's involvement extends beyond capital: Robinhood CEO Vlad Tenev serves as an advisor and has publicly praised Lighter, and the two companies share a professional connection — Novakovski mentored Tenev earlier in his career. Following the July 2026 launch of Robinhood Chain's mainnet, Lighter allocated \$11M in LIT incentives exclusively for Robinhood traders, underscoring a genuine, ongoing distribution partnership rather than a passive investment. This combination of elite crypto-native VCs (a16z, Dragonfly, Founders Fund) and a public retail brokerage partner is a distinctive investor profile relative to most projects in this coverage series.

■ SECTION 06

Team

Lighter's leadership team is fully named and publicly disclosed, a meaningfully higher transparency standard than several other projects in this coverage series. Founder and CEO Vladimir Novakovski previously worked as an engineer at Citadel, a leading quantitative trading firm, and holds a degree from Harvard — a background directly relevant to building high-performance financial infrastructure.

Name	Role
Vladimir Novakovski	Founder & CEO
Constantin Dubus	Chief of Staff
Camila Gamarra Casalino	Business Development
Hikmet Demir	Software Engineer
Ray Peh	Investor & Contributor
Ong Yao De	Contributor

Beyond the core named team, Lighter's public contributor base includes several pseudonymous community and developer-relations figures (e.g., "Twixy," "StayRoamer," "Trevor Flipper") common in crypto-native marketing and community roles — a normal pattern that does not detract from the fully disclosed core leadership.

■ SECTION 07

Market Performance & Liquidity

LIT's 24-hour trading range at the time of this report spanned \$2.269 to \$2.868, with the token up sharply (+22–25%) across nearly every major exchange in the same session — a broad, uniform rally consistent with a market-wide catalyst rather than isolated venue activity. LIT currently trades roughly 30% below its all-time high of \$4.044, reached shortly after its December 2025 TGE, and dramatically above its all-time low of \$0.7803.

Exchange Liquidity (24h volume by venue)

Exchange	Pair	24h Volume	Price	24h %
Gate	LIT/USDT	\$13.57M	\$2.84	+24.5%
OKX	LIT/USDT	\$11.31M	\$2.84	+23.9%
Lighter (native)	LIT/USDC	\$10.87M	\$2.82	+22.8%
Bybit	LIT/USDT	\$10.14M	\$2.84	+24.7%
MEXC	LIT/USDT	\$9.39M	\$2.84	+24.6%
DigiFinex	LIT/USDT	\$9.31M	\$2.84	+23.9%
Lbank	LIT/USDT	\$8.10M	\$2.83	N/A
Coinbase	LIGHTER/USD	\$6.75M	\$2.82	+22.7%
CoinW	LIT/USDT	\$2.88M	\$2.84	+24.3%
Uniswap V4	LIT/USDC	\$1.80M	\$2.85	N/A
KuCoin	LIT/USDT	\$1.49M	\$2.84	+24.4%
Kraken	LIGHTER/USD	\$725.28K	\$2.86	+9.95%

Liquidity is exceptionally well-distributed across a large number of Tier-1 and Tier-2 exchanges (Coinbase, Kraken, OKX, Bybit, Gate, MEXC) plus the protocol's own native order book — a materially deeper and more diversified liquidity profile than most tokens covered in this series, reflecting LIT's larger market cap and broader exchange courtship.

■ SECTION 08

Ecosystem & Competitive Landscape

Ecosystem Traction

- Within weeks of its October 2025 public mainnet launch, Lighter became the largest perpetual DEX by trading volume on daily and weekly timeframes, per DeFiLlama data cited in November 2025 reporting.
- Protocol TVL reached an all-time high of \$1.456B in mid-December 2025; more recent figures cited in mid-2026 analysis show TVL around \$487M with roughly \$39B in 30-day perpetuals volume and \$766M in open interest, holding a stable top-five position in the perp DEX league table after initial incentive farming wound down.

- A Circle partnership established USDC as Lighter's default stablecoin across spot and perpetual trading, settlement, liquidations, and onboarding — deepening USDC's integration into on-chain trading infrastructure.
- Chainlink serves as Lighter's oracle infrastructure provider for price feeds used in matching and liquidation systems.
- The protocol has expanded beyond crypto perpetuals into real-world-asset perpetual markets, including gold and equity-index-style products, alongside pre-launch markets for early-stage token exposure.

Competitive Landscape

Lighter competes directly in the fast-growing perpetual DEX category against Hyperliquid — the category's dominant incumbent since its native token launch — and Aster, both of which have posted comparable or larger trading volumes in recent months (Aster led with \$313.3B in 30-day perpetuals volume versus Lighter's \$284B in one November 2025 comparison). Unlike Hyperliquid's "no-VC" community-driven narrative, Lighter has taken the opposite approach — elite VC backing plus a strategic Robinhood retail partnership — betting that institutional credibility and mainstream distribution can compete with community-native growth. Whether that strategy can match Hyperliquid's network effects remains an open question flagged by industry analysts.

■ SECTION 09

Roadmap & Outlook

Lighter's public whitepaper outlines a roadmap extending well beyond perpetual futures: the team intends to generalize its verifiable-computation infrastructure to support spot trading, prediction markets, lending, and other financial primitives, alongside a planned side-car virtual machine for general-purpose computation that would preserve the core exchange's performance while adding flexibility for broader ecosystem development.

- Watch for the Team and Investor token unlock schedule — 50% of max supply remains locked as of this report, and the timing/structure of that unlock is the single largest pending supply event.
- Watch for continued Robinhood Chain integration following its July 2026 mainnet launch, given the \$11M LIT incentive allocation already committed to that user base.
- Watch for third-party security audit disclosures, given at least one independent assessment flagged their absence as of early 2026 for a protocol now securing hundreds of millions in TVL.
- Watch for progress on MEV-mitigation research (fair sequencing, transaction encryption, pre-commitment schemes) that the team has flagged as ongoing work in its whitepaper.

■ SECTION 10

Bullish Case, Bearish Case & Risk Factors

▲ BULLISH CASE

▼ BEARISH CASE

- + Genuine top-70 market cap asset that became the largest perp DEX by volume within weeks of its public mainnet launch, backed by real, verifiable usage data rather than pre-launch projections.
- + Elite, differentiated investor syndicate spanning top-tier crypto VCs (a16z, Dragonfly, Founders Fund, Ribbit Capital) and a genuine strategic partner in Robinhood, including CEO-level advisory involvement.
- + Technically rigorous architecture with a dedicated, detailed whitepaper describing a novel Order Book Tree data structure that meaningfully improves on prior zk-rollup order book designs.
- + Fully named, credentialed core leadership team (ex-Citadel CEO) — a materially higher transparency standard than most projects in this coverage series.
- + Deep, diversified exchange liquidity across Coinbase, Kraken, OKX, Bybit, and more, reflecting genuine mainstream exchange courtship rather than reliance on a handful of smaller venues.

- 50% of max supply (Team + Investors) remains entirely locked and unvested as of this report — the largest pending supply event in LIT's history has not yet occurred.
- Fully diluted valuation (~\$2.84B) sits roughly 4x current market cap, a substantial long-term dilution consideration once insider tokens begin unlocking.
- Intensely competitive category: Hyperliquid remains the dominant incumbent by community narrative and network effects, with Aster also posting comparable or larger volumes in recent months.
- At least one independent assessment noted the absence of disclosed top-tier security audits as of early 2026 for a protocol now securing hundreds of millions in TVL and open interest.
- The zero-fee retail strategy, while good for distribution, means Lighter's revenue model depends on order-flow quality and token mechanisms rather than direct fee capture — a less proven business model than fee-based competitors.

Key Risk Factors

Risk Factor	Severity	Description
Insider Token Overhang	High	50% combined Team/Investor allocation remains fully locked; unlock timing and structure not yet disclosed as of this report.
Competitive Intensity	High	Hyperliquid and Aster both compete directly with comparable or larger trading volumes in the same category.
Security Audit Disclosure	Medium	At least one independent review flagged the absence of disclosed top-tier audits for a protocol securing hundreds of millions in TVL.
Sequencer Centralization	Medium	While matching is provably verified, the Sequencer's transaction-ordering role still represents a degree of centralization pending further decentralization work.
Revenue Model Uncertainty	Medium	Zero-fee retail strategy prioritizes distribution over direct fee capture, an approach with a less established track record than fee-based competitors.
FDV Overhang	Medium	Fully diluted valuation is roughly 4x current market cap, a significant consideration for long-term holders.
Macro / Crypto Beta	Medium	As a perpetuals-trading-linked asset, LIT is exposed to both broader crypto cycles and derivatives-market-specific volatility.

■ SECTION 11

Investment Potential and Risks

Lighter stands out from most projects in this coverage series on the strength of its fundamentals: a technically sophisticated, whitepaper-documented zero-knowledge architecture; a fully named and credentialed leadership team; an elite, differentiated investor base spanning top crypto VCs and a genuine strategic partnership with Robinhood; and — most importantly — real, independently reported usage data showing it became a top perpetual DEX by volume within weeks of its public launch, rather than a token asking the market to underwrite an unproven thesis.

Against that strength, the 50% Team/Investor allocation still sitting entirely locked is the dominant risk to underwrite: this is not a small technical footnote but the largest pending supply event in the token's history, and how it unlocks will shape LIT's medium-term price trajectory regardless of continued protocol execution. Competition from Hyperliquid and Aster is also genuine and ongoing rather than theoretical, and the absence of disclosed top-tier security audits is worth resolving directly with the team before treating the protocol's non-custodial claims as fully verified in practice.

NBZ RESEARCH VERDICT

Rating: ESTABLISHED / MODERATE RISK — Monitor Insider Unlock Schedule

Lighter combines unusually strong fundamentals — real usage, elite backing, technical rigor, and full leadership transparency — with a still-unresolved insider unlock structure and intense category competition that together warrant genuine caution despite the project's clear execution to date. This profile is meaningfully more mature than most early-stage tokens in NBZ Research's coverage, but the ~4x FDV-to-market-cap gap means the market has not yet fully priced the eventual Team/Investor supply release. NBZ Research views LIT as one of the stronger fundamentals-driven holdings in this coverage series, best suited to investors comfortable underwriting continued perp-DEX category competition and prepared to monitor the insider unlock schedule closely as it develops.

This report reflects publicly available information as of the stated date and is not financial advice. DYOR. Token unlock schedules and roadmaps are subject to change — verify against app.lighter.xyz and official Lighter channels.

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